

Appalachian Community Capital Corporation

Financial Report

(In Accordance with the Requirements of Title 2 U.S. *Code of Federal Regulations (CFR)* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards*)

December 31, 2025

Appalachian Community Capital Corporation

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Independent Auditor's Report

To the Board of Directors
Appalachian Community Capital Corporation
Christiansburg, Virginia

Report on the Audit of the Financial Statements

Opinion

We have audited the accompanying consolidated financial statements of Appalachian Community Capital Corporation (the "Company"), which comprise the consolidated statements of financial position as of December 31, 2025, and the related consolidated statements of activities and cash flows for the year then ended, and the related notes to the consolidated financial statements.

In our opinion, the consolidated financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2025, and the changes in its net assets and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern within one year after the date that the consolidated financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and, therefore, is not a guarantee that an audit conducted in accordance with generally accepted auditing standards and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the consolidated financial statements.

In performing an audit in accordance with generally accepted auditing standards and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the consolidated financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Supplementary Information

Our audit was conducted for the purpose of forming an opinion on the consolidated financial statements as a whole. The accompanying schedule of expenditures of federal awards, as required by Title 2 U.S. *Code of Federal Regulations* (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards*, is presented for purposes of additional analysis and is not a required part of the consolidated financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the consolidated financial statements. The information has been subjected to the auditing procedures applied

in the audit of the consolidated financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the consolidated financial statements or to the consolidated financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the schedule of expenditures of federal awards is fairly stated, in all material respects, in relation to the consolidated financial statements as a whole.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated April 30, 2026, on our consideration of the Company's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, grant agreements, and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the Company's internal control over financial reporting and compliance.

Brown, Edwards & Company, L.L.P.

CERTIFIED PUBLIC ACCOUNTANTS

Christiansburg, Virginia
April 30, 2026



Consolidated Financial Statements

Appalachian Community Capital Corporation

Consolidated Statements of Financial Position

December 31, 2025 and 2024

	2025	2024
ASSETS		
Cash and cash equivalents	\$ 2,638,658	\$ 1,699,108
Cash and cash equivalents – restricted	511,826,942	522,179,281
Cash funded loan loss reserve	480,000	300,000
Loans receivable, net of allowance for credit losses of \$198,324 and \$222,324 at December 31, 2025 and 2024, respectively	40,099,686	32,151,415
Grants receivable	618,277	645,730
Accounts receivable	555,520	-
Accrued interest receivable	128,318	1,572,089
Property and equipment, net	3,181	6,502
Prepaid expenses and other assets	37,996	32,029
Total assets	\$ 556,388,578	\$ 558,586,154
LIABILITIES AND NET ASSETS		
Notes payable	\$ 39,069,307	\$ 31,718,352
Accrued interest payable	142,271	67,817
Accounts payable	218,127	568,089
Deferred revenue	512,022,419	520,262,505
Accrued expenses and other liabilities	155,587	776,984
Total liabilities	551,607,711	553,393,747
Net assets – without donor restrictions	1,793,867	2,205,407
Net assets – with donor restrictions	2,987,000	2,987,000
Total net assets	4,780,867	5,192,407
Total liabilities and net assets	\$ 556,388,578	\$ 558,586,154

Appalachian Community Capital Corporation

Consolidated Statement of Activities

Year Ended December 31, 2025

	Without Donor Restrictions	With Donor Restrictions	Total
SUPPORT AND REVENUE			
Grant income	\$ -	\$ 68,227,493	\$ 68,227,493
Interest income – loans	1,220,024	-	1,220,024
Interest income – certificates of deposits	104,893	-	104,893
Other operating income	298,648	-	298,648
Net assets released from restrictions	68,227,493	(68,227,493)	-
Total support and revenue	<u>69,851,058</u>	<u>-</u>	<u>69,851,058</u>
EXPENSES			
<i>Program Services</i>			
Interest expense	951,766	-	951,766
Recovery of loan losses	(24,000)	-	(24,000)
Salaries and employee benefits	1,057,136	-	1,057,136
Data processing	80,832	-	80,832
Office and administrative	28,879	-	28,879
Professional fees	6,149,836	-	6,149,836
Travel expense	51,084	-	51,084
Dues and subscriptions	87,351	-	87,351
Promotional events	124,562	-	124,562
Pass through grant expense	61,350,681	-	61,350,681
Other expense	73,825	-	73,825
Total program services expenses	<u>69,931,952</u>	<u>-</u>	<u>69,931,952</u>
<i>Management and General</i>			
Salaries and employee benefits	186,553	-	186,553
Data processing	14,264	-	14,264
Office and administrative	3,232	-	3,232
Professional fees	71,376	-	71,376
Travel expense	5,138	-	5,138
Dues and subscriptions	15,415	-	15,415
Promotional events	21,981	-	21,981
Other expense	12,687	-	12,687
Total management and general expenses	<u>330,646</u>	<u>-</u>	<u>330,646</u>
Total expenses	<u>70,262,598</u>	<u>-</u>	<u>70,262,598</u>
Change in net assets	<u>(411,540)</u>	<u>-</u>	<u>(411,540)</u>
NET ASSETS			
Beginning of year	2,205,407	2,987,000	5,192,407
End of year	<u><u>\$ 1,793,867</u></u>	<u><u>\$ 2,987,000</u></u>	<u><u>\$ 4,780,867</u></u>

Appalachian Community Capital Corporation

Consolidated Statement of Activities

Year Ended December 31, 2024

	Without Donor Restrictions	With Donor Restrictions	Total
SUPPORT AND REVENUE			
Grant income	\$ -	\$ 10,995,875	\$ 10,995,875
Interest income – loans	987,427	-	987,427
Interest income – certificates of deposits	111,023	-	111,023
Other operating income	71,019	-	71,019
Net assets released from restrictions	10,995,875	(10,995,875)	-
Total support and revenue	<u>12,165,344</u>	<u>-</u>	<u>12,165,344</u>
EXPENSES			
<i>Program Services</i>			
Interest expense	707,246	-	707,246
Provision for loan losses	81,000	-	81,000
Salaries and employee benefits	524,464	-	524,464
Data processing	55,293	-	55,293
Office and administrative	11,342	-	11,342
Professional fees	2,707,668	-	2,707,668
Travel expense	56,960	-	56,960
Dues and subscriptions	74,141	-	74,141
Pass through grant expense	7,017,000	-	7,017,000
Other expense	28,106	-	28,106
Total program services expenses	<u>11,263,220</u>	<u>-</u>	<u>11,263,220</u>
<i>Management and General</i>			
Salaries and employee benefits	92,553	-	92,553
Data processing	9,758	-	9,758
Office and administrative	2,001	-	2,001
Professional fees	477,824	-	477,824
Travel expense	10,052	-	10,052
Dues and subscriptions	13,084	-	13,084
Other expense	87,730	-	87,730
Total management and general expenses	<u>693,002</u>	<u>-</u>	<u>693,002</u>
Total expenses	<u>11,956,222</u>	<u>-</u>	<u>11,956,222</u>
Change in net assets	<u>209,122</u>	<u>-</u>	<u>209,122</u>
NET ASSETS			
Beginning of year	1,996,285	2,987,000	4,983,285
End of year	<u>\$ 2,205,407</u>	<u>\$ 2,987,000</u>	<u>\$ 5,192,407</u>

Appalachian Community Capital Corporation

Consolidated Statements of Cash Flows

Years Ended December 31, 2025 and 2024

	2025	2024
OPERATING ACTIVITIES		
Change in net assets	\$ (411,540)	\$ 209,122
Adjustments to reconcile change in net assets to net cash provided by (used in) operating activities		
Depreciation expense	1,534	1,195
Provision (recovery) for loan losses	(24,000)	81,000
Change in current assets and liabilities		
(Increase) decrease in:		
Grants receivable	(152,547)	155,919
Accounts receivable	(555,520)	-
Accrued interest receivable	1,443,771	(1,515,257)
Prepaid expenses and other assets	(4,180)	12,417
Increase (decrease) in:		
Accrued interest payable	74,454	8,896
Accounts payable	(349,962)	499,515
Deferred revenue	(8,240,086)	518,864,178
Accrued expenses and other liabilities	(621,397)	740,953
Net cash provided by (used in) operating activities	<u>(8,839,473)</u>	<u>519,057,938</u>
INVESTING ACTIVITIES		
Net increase in loans	(7,924,271)	(7,200,109)
Purchase of premises and equipment	-	(5,401)
Net cash used in investing activities	<u>(7,924,271)</u>	<u>(7,205,510)</u>
FINANCING ACTIVITIES		
Increase in notes payable, net	7,350,955	9,115,240
Net cash provided by financing activities	<u>7,350,955</u>	<u>9,115,240</u>
Net change in cash and cash equivalents	<u>(9,412,789)</u>	<u>520,967,668</u>
CASH AND CASH EQUIVALENTS		
Beginning	523,878,389	2,910,721
Ending	<u><u>\$ 514,465,600</u></u>	<u><u>\$ 523,878,389</u></u>
Cash and cash equivalents	\$ 2,638,658	\$ 1,699,108
Cash and cash equivalents – restricted	511,826,942	522,179,281
Cash and cash equivalents – end of year	<u><u>\$ 514,465,600</u></u>	<u><u>\$ 523,878,389</u></u>
SUPPLEMENTAL DISCLOSURES OF CASH FLOW INFORMATION		
Interest paid	<u><u>\$ 877,312</u></u>	<u><u>\$ 698,350</u></u>

Appalachian Community Capital Corporation

Notes to Consolidated Financial Statements

December 31, 2025

Note 1 – Nature of Activities and Summary of Significant Accounting Policies

Nature of Activities

Appalachian Community Capital Corporation (“ACC” or the “Company”) is a non-profit, wholesale capital intermediary created to increase business lending in Appalachia by providing community loan funds with a new source of capital. Formed in 2013, ACC’s mission is to increase business lending by providing member institutions, which serve underserved people and communities, with new sources of capital. The Company provides financing, as well as educational programs and technical assistance to its members and to small businesses throughout the thirteen-state Appalachian Region. ACC’s work enables reliable and sufficient capital for all of its members, leading to a growing economy, increased entrepreneurship, higher quality jobs, and increased local wealth in the Appalachian region. Appalachian Community Capital Development Foundation and Green Bank for Rural America are non-profit companies that are under common control by ACC and are therefore consolidated for financial reporting purposes.

In 2024, the Company received a grant award for \$500,000,000 from the Environmental Protection Agency (EPA), as part of the Inflation Reduction Act. The Company formed Green Bank for Rural America to accelerate economic restructuring and diversification in communities impacted by declines in the fossil fuel industry. As a result of this grant award, these funds of approximately \$509.4 million and \$500.7 million are included in the restricted cash and cash equivalents line on the statements of financial position with a corresponding amount as deferred revenue as of December 31, 2025 and 2024.

Critical Accounting Policies

The accounting and reporting policies of the Company follow generally accepted accounting principles and general practices within the non-profit and financial services industries. The following is a summary of the more significant policies:

Management believes the policies with respect to the methodology for the determination of the allowance for credit losses and asset impairment judgments involve a high degree of complexity. Management must make difficult and subjective judgments which require assumptions or estimates about highly uncertain matters. Changes in these judgments, assumptions, or estimates could cause reported totals to differ materially from actual results. These critical policies and their application are periodically reviewed with the Board of Directors.

Use of Estimates

The preparation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the consolidated financial statements and the reported amounts of revenues and expenses during the period. Actual results could differ from those estimates.

The determination of whether or not grant conditions have been met has a significant impact on revenue and is, in some cases, an estimate.

Basis of Accounting

The consolidated financial statements are prepared on the accrual basis of accounting. Under this basis of accounting, revenues are recognized when earned and expenses are recognized when incurred.

Appalachian Community Capital Corporation

Notes to Consolidated Financial Statements

December 31, 2025

Financial Statement Presentation

Net assets, revenues, and expenses are classified based on the existence or absence of donor-imposed restrictions. Accordingly, net assets of the Company and changes therein are classified and reported as follows:

Without donor restrictions – All resources over which the governing board has discretionary control. The Board of Directors of the Company may elect to designate such resources for specific purposes. This designation may be removed at the Board of Directors' discretion.

With donor restrictions – Resources accumulated through donations or grants for specific operating or capital purposes. Such resources will be without restrictions when the requirements of the donor or grantee have been satisfied through expenditures for the specified purpose or program or through the passage of time. Also includes resources accumulated through donations or grants subject to donor-imposed stipulations that are to be maintained permanently by the Company. Generally, the donors of these assets permit the Company to use all or part of the income earned on related investments for general or specific purposes.

Cash and Cash Equivalents

For purposes of the statements of cash flows, cash and cash equivalents are considered to include those amounts included in "cash and cash equivalents" and "cash and cash equivalents – restricted" on the consolidated statements of financial position. Cash and cash equivalents are considered to be highly liquid investments with maturities of 90 days or less.

Restricted Cash and Cash Equivalents

Restricted cash represents cash on hand used to fulfill the Company's obligations in grant and loan agreements. The largest restrictions on cash relate to lending, technical assistance, and loan loss reserves. Cash and cash equivalents restricted includes \$511,826,942 and \$500,651,670 in cash included in U.S. Treasury Securities Money Market Fund at December 31, 2025 and 2024, respectively.

Loans Receivable

Loans receivable that management has the intent and ability to hold for the foreseeable future, until maturity or pay-off are reported at their outstanding principal amount adjusted for any charge-offs. Loan origination fees, net of certain direct origination costs, are deferred and recognized, as an adjustment of the related loan yield using the effective interest method.

Interest is accrued and credited to income based on the principal amount outstanding. The accrual of interest on non-performing loans is discontinued when, in management's opinion, the borrower may be unable to meet payments as they become due. When interest accrual is discontinued, all unpaid accrued interest for the current year is reversed and any subsequent payments received are applied only to the loan's outstanding principal balance. When facts and circumstances indicate the borrower has regained the ability to meet the required payments, the loan is returned to accrual status. Past due status of loans is determined based on contractual terms.

Allowance for Credit Losses – Loans

The allowance for credit losses is a valuation account that is deducted from the loans amortized cost basis to present the net amount expected to be collected on the loans. Loans are charged off against the allowance when management

Appalachian Community Capital Corporation

Notes to Consolidated Financial Statements

December 31, 2025

believes the uncollectability of a loan balance is confirmed. Expected recoveries do not exceed the aggregate of amounts previously charged off and expected to be charged off.

Management estimates the allowance balance using relevant available information, from internal and external sources, relating to past events, current conditions, and reasonable and supportable forecasts.

The allowance for credit losses is measured on a collective (pool) basis when similar risk characteristics exist. The Company utilizes the Weighted Average Remaining Maturity (WARM) approach to calculate the expected loss for each pool. The WARM is based on every individual loan in the pool. Each loan's remaining life is determined based on contracted loan payments, expected prepayments, and maturity dates. Lifetime losses for each pool are calculated by multiplying the loan pool balance by the lifetime balance multiplier, the annual loss rate, and the calculated uncollected percentage. Qualitative adjustments are a combination of forward looking projections for each pool based on objective economic data and custom qualitative factors as determined by the Company, such as economic trends, and conditions and underwriting standards. The total loss rate is the lifetime loss.

Loans that do not share risk characteristics are evaluated on an individual basis. Loans evaluated individually are not included in the collective evaluation.

Expected credit losses are estimated over the contractual term of the loans, adjusted for expected prepayments when appropriate. The contractual term excludes expected extensions, renewals, and modifications unless either of the following applies: management has a reasonable expectation at the reporting date that a loan modification will be executed with an individual borrower or the extension or renewal options are included in the original or modified at the reporting date are not unconditionally cancellable by the Company.

In 2017, the Company had allocated \$150,000 of a grant funding received from the Community Development Financial Institutions ("CDFI") Fund to create a cash funded loan loss reserve in order to offset losses in the Small/Emerging CDFI loan portfolio. This grant expired in 2022. The portion of the allowance for credit losses attributable to the Small/Emerging CDFI's will be a reduction against the overall allowance of loan losses as the funds can be used to offset small business loan losses and provisions per the grant document. In 2021, the Company allocated an additional \$300,000 of grant funding received from the CDFI Fund to the cash funded loan loss reserve. In 2025, the Company allocated an additional \$180,000 of grant funding received from the CDFI Fund to the cash funded loan loss reserve.

Grants Receivable, Revenue Recognition, and Deferred Revenue

Grants receivable and related deferred revenue are recorded at the time of award from a grantor. Grants are classified in one of two categories, with donor restrictions and without donor restrictions. Classification is determined based on the designation by the grantor for the use of funds. Grant revenue is recognized when earned by the Company through performance as specified in each grant award.

Property and Equipment

Property and equipment consists of computer equipment and is carried at cost, less accumulated depreciation computed by the straight-line method over three years. When items of property and equipment are sold or retired, the related costs and accumulated depreciation are removed from the accounts and any gain or loss is included in income. Maintenance and repairs are charged to expenses as incurred; major renewals and betterments are capitalized.

Appalachian Community Capital Corporation

Notes to Consolidated Financial Statements

December 31, 2025

Functional Allocation of Expenses

The consolidated financial statements report certain categories of expenses that are attributable to one or more program or supporting functions of the Company. Those expenses include salaries and employee benefits, data processing, office and administrative, professional fees, travel, dues and subscriptions, Board of Directors, and other expenses. These costs are allocated either based on the actual nature of the expense or estimates of time and effort.

Income Taxes

The Company is a non-profit organization that is exempt from income taxes under Section 501(c)(4) of the *Internal Revenue Code*. Management is not aware of any uncertain tax positions and has not accrued any expense for the effect of an uncertain tax position as of December 31, 2025 and 2024. Tax years beginning in 2021 are open to examination by taxing authorities.

Revenue from Contracts with Customers

All of the Company's revenue from contracts with customers in the scope of Accounting Standards Codification (ASC) 606 is recognized within total revenue and support. The following table presents the Company's income by revenue stream for the years ended December 31, excluding interest and fees on loans and other interest income.

	2025	2024
Grant income	<u>\$ 68,227,493</u>	<u>\$ 10,995,875</u>

A description of the Company's revenue streams accounted for under ASC 606 follows:

Grant income – The Company receives grants from several types of entities for a range of purposes. In some instances, grant income is recognized as deliverables and performance criteria are met as the contract is considered an exchange transaction.

Recent Accounting Pronouncements

Accounting standards have been issued by the Financial Accounting Standards Board (FASB) that are not currently applicable to the Company or are not expected to have a material impact on the Company's consolidated financial statements.

Reclassifications

Certain items in the prior year have been reclassified to conform to the current year presentation. These reclassifications had no impact on net assets, changes in net assets, or cash flows.

Note 2 – Cash and Cash Equivalents

Cash and cash equivalents at December 31, 2025 and 2024 totaled \$2,638,658 and \$1,699,108, respectively. Restricted cash and cash equivalents at December 31, 2025 and 2024 totaled \$511,826,942 and \$522,179,281, respectively. The Company regularly maintains cash balances in excess of FDIC insured limits. The Company has not experienced any losses in such accounts.

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Notes to Consolidated Financial Statements

December 31, 2025

Note 3 – Loans Receivable

The major components of loans receivable as of December 31, are as follows:

	2025	2024
Loans to CDFI's	\$ 38,085,985	\$ 31,690,293
Small business loans*	2,212,025	683,446
Allowance for loan losses	(198,324)	(222,324)
	<u>\$ 40,099,686</u>	<u>\$ 32,151,415</u>

* Small business loans represent small business participation loans purchased from member organizations.

There were no loans pledged at December 31, 2025 or 2024.

The Company is party to financial instruments with off-balance-sheet risk in the normal course of business to meet the financing needs of its members. This financial instrument includes commitments to extend credit. This instrument involves, to varying degrees, elements of credit and interest rate risk in excess of the amount recognized on the consolidated statements of financial position. The contractual or notional amounts of this instrument reflect the extent of involvement the Company has in particular classes of financial instruments.

The Company's exposure to credit loss in the event of nonperformance by the other party to the financial instrument for commitments to extend credit is represented by the contractual or notional amount of this instrument. The Company uses the same credit policies in making commitments and conditional obligations as it does for on balance sheet instruments.

Since some of the commitments are expected to expire without being drawn upon, the total commitment amounts do not necessarily represent future cash requirements. The Company evaluates each customer's creditworthiness on a case-by-case basis. The amount of collateral obtained if deemed necessary by the Company upon extension of credit is based on management's credit evaluation of the counterparty.

Note 4 – Allowance for Credit Losses

The allocation of the allowance for credit losses by loan components at December 31, was as follows:

	2025		
	Loans to CDFI's	Small Business Loans	Total
Allowance for credit losses			
December 31, 2024	\$ 185,324	\$ 37,000	\$ 222,324
Recovery of loan losses	13,000	(37,000)	(24,000)
December 31, 2025	<u>\$ 198,324</u>	<u>\$ -</u>	<u>\$ 198,324</u>

Appalachian Community Capital Corporation

Notes to Consolidated Financial Statements

December 31, 2025

	2024		
	Loans to CDFI's	Small Business Loans	Total
Allowance for credit losses			
December 31, 2023	\$ 141,324	\$ -	\$ 141,324
Provision for loan losses	44,000	37,000	81,000
December 31, 2024	<u>\$ 185,324</u>	<u>\$ 37,000</u>	<u>\$ 222,324</u>

The Company utilizes a cash funded loan loss reserve in the amount of \$480,000 and \$300,000 as of December 31, 2025 and 2024, respectively, to offset reserves related to small business loans.

As of December 31, 2025 or 2024, there were no nonaccrual, past due loans, collateral dependent loans, or troubled loan modifications.

Credit Quality Indicators

The Company categorizes loans into risk categories based on relevant information about the ability of borrowers to service their debt such as current financial information, historical payment experience, credit documentation, public information, and current economic trends, among other factors. The Company analyzes loans individually by classifying the loans as to credit risk.

Loans graded Good or Satisfactory are excluded from the scope of the annual review and considered "Pass Credits" until: (a) they become past due; (b) management becomes aware of a deterioration in the credit worthiness of the borrower; or (c) the customer contacts the Company for a modification. In these circumstances, the loan is specifically evaluated for potential classification as Watch, Substandard, Doubtful, or Loss. The Company uses the following definitions for risk ratings:

Good – Loans in this category are of good quality. The borrower has a history of successful performance, but may be susceptible to economic changes. Asset quality and liquidity are considered good. Overall leverage is normal for the industry in which the borrower operates and is stable. Cash flow levels may fluctuate but are sufficient to meet obligations. Margins and ratios are generally in line with or exceed industry norms. Earnings may have been inconsistent in the past, but have now stabilized and are equivalent to or better than the industry average. Other sources of financing, particularly from a number of other financial institutions, should be obtainable.

Satisfactory – Loans in this category are of satisfactory quality and risk is well within the Company's range of acceptability. They may differ from loans rated "Good" because the borrower may be entering an expansion mode, acquiring another company, introducing new products, or investing large amounts of capital in upgrading equipment or the facility. The borrower's business may be cyclical, or its customer base may have concentrations. Asset quality is acceptable. Liquidity levels fluctuate and usage of short-term credit may be needed on a regular basis to finance growth or fluctuations in revenues and current assets. Leverage may be slightly to moderately higher than the industry, but is stable. Cash flow may fluctuate, but is evident in sales and earnings. The long-term outlook should be favorable. Management and owners have unquestioned character, although depth of management may be an issue.

Watch – Loans in this grade are considered to have a higher than normal credit risk and servicing needs. Asset quality is marginally acceptable. Leverage may fluctuate and is above normal for the industry. Cash flow is marginally adequate, but is not clearly sufficient to ensure continued performance of contractual obligations without improving trends. A loss year or earnings decline may occur, but the borrower has sufficient strength and

Appalachian Community Capital Corporation

Notes to Consolidated Financial Statements

December 31, 2025

financial flexibility to offset these events. A reasonable expectation exists that operating performance will improve in the near future. Some management weaknesses may exist. These borrowers are currently performing as agreed, but may be adversely affected by deteriorating industry conditions, competition, operating deficiencies, pending litigation of a significant nature, or declining asset quality, and therefore should be monitored closely. Access to alternative financing sources may not be possible or limited to asset-based lenders and other institutions specializing in high risk financing. Management has determined these loans require enhanced monitoring.

Substandard – Substandard assets are inadequately protected by the net worth and paying capacity of the borrower or the collateral pledged. Sound worth and paying capacity of a guarantor should be considered only if judged to be strong and dependable. Customers in this category have well defined weaknesses and the possibility exists that the Company will sustain some loss if the deficiencies are not corrected. Characteristics of a substandard loan include one or more of the following characteristics: a significant deterioration in earnings, cash flow or balance sheet composition, a deficient equity position, insufficient cash flow to meet maturity obligations, recent evidence of slow payments, a lack of adequate collateral, or a dependence on illiquid collateral for repayment.

Doubtful – Doubtful ratings are applied to loans that exhibit weaknesses that make collection or liquidation in full improbable. This rating is used when the expected loss cannot be calculated, but estimates indicate that the loss will be significant in relation to the outstanding loan balance. The possibility of loss is extremely high, but because of certain important and reasonably specific pending factors which may work to the advantage and strengthening of the loan, its classification as a loss is deferred until its more exact status may be determined. Pending factors include proposed merger, acquisition, or liquidation procedures, capital injection, perfecting liens on additional collateral, and refinancing plans.

Loss – This rating is applied when the borrower's outstanding debt is considered uncollectible or of such little value that continuance as a Company asset is not warranted. This rating does not suggest that there is absolutely no recovery or salvage value, but that it is not practical or desirable to defer charging off the loan.

2025			
Loans by risk rating	Loans to CDFI's	Small Business Loans	Total
Pass	\$ 38,085,985	\$ 2,212,025	\$ 40,298,010
Watch	-	-	-
	<u>\$ 38,085,985</u>	<u>\$ 2,212,025</u>	<u>\$ 40,298,010</u>

2024			
Loans by risk rating	Loans to CDFI's	Small Business Loans	Total
Pass	\$ 31,690,293	\$ 683,446	\$ 32,373,739
Watch	-	-	-
	<u>\$ 31,690,293</u>	<u>\$ 683,446</u>	<u>\$ 32,373,739</u>

Appalachian Community Capital Corporation

Notes to Consolidated Financial Statements

December 31, 2025

Note 5 – Grants Receivable

ACC was due to receive grant awards from outside funding agencies as of December 31, as follows:

	2025	2024
Appalachian Regional Commission – COVID-19 Response*	\$ -	\$ 61,418
Robert Wood Johnson Foundation	133,334	133,334
CDFI FA Grant	-	260,000
Appalachian Regional Commission – 2023 Operating Grant	459,943	1,282,971
Appalachian Regional Commission – GGRF Startup	-	59,616
Mastercard Grant	-	250,000
Charles M and Mary D Foundation Grant	-	40,000
CDFI FA Grant 2024	-	800,000
Department of Housing and Community Development Grant	30,000	-
	623,277	2,887,339
Unearned grants receivable	(5,000)	(2,241,609)
Total grants receivable, net	<u>\$ 618,277</u>	<u>\$ 645,730</u>

* ARC-COVID-19 Response Grant funds were passed through to subrecipients.

Note 6 – Property and Equipment

Detail related to property and equipment as of December 31, is as follows:

	2025	2024
Computer equipment	\$ 8,534	\$ 10,320
Less accumulated depreciation	(5,353)	(3,818)
	<u>\$ 3,181</u>	<u>\$ 6,502</u>

Depreciation for the years ended December 31, 2025 and 2024 was \$1,534 and \$1,195, respectively.

Note 7 – Concentration Risks

ACC has a potential risk associated with the concentration of support received from governmental agencies. Any change in future funding could have an adverse impact on ACC. The Company also has little diversification in its loan portfolio with the significant portion of loans outstanding to CDFIs as discussed in Note 3.

In 2024, ACC partnered with a private foundation to launch the Western North Carolina Small Business Initiative to offer grants to eligible businesses impacted by Hurricane Helene. In 2024, the program had raised \$21,753,000 in funds, deploying approximately \$7,000,000, resulting in grant income recognized of the same amount. In 2025, the program raised \$35,000,000 in funds, deploying approximately \$49,325,000 resulting in grant income recognized of the same amount.

Appalachian Community Capital Corporation

Notes to Consolidated Financial Statements

December 31, 2025

Note 8 – Borrowings

Borrowings at December 31, consist of the following:

Description	Rate	Maturity	2025	2024
Opportunity Finance Network ¹	3.00%	05/01/2027	\$ 400,000	\$ 400,000
BBVA Compass Bank ¹	2.50%	08/06/2025	-	400,000
PNC Bank ¹	1.00%	12/03/2029	1,500,000	1,000,000
Northern Trust ²	2.00%	12/09/2029	1,000,000	1,000,000
Northern Trust ²	2.00%	12/09/2029	1,000,000	1,000,000
RCIF ¹	2.00%	03/06/2029	200,000	200,000
Cnote ¹	1.50%	10/24/2026	750,000	750,000
Olamina Fund ³	3.50%	09/30/2026	2,000,000	2,000,000
Opportunity Finance Network Google Endeavor ⁴	3.00%	05/31/2030	5,000,000	5,000,000
Ford Foundation ⁵	2.00%	12/06/2032	10,000,000	10,000,000
Truist Bank ¹	2.00%	12/09/2026	2,975,638	2,975,638
U.S. Bancorp Community Development Corporation ⁶	2.35%	4/30/2025	-	1,500,000
U.S. Bancorp Community Development Corporation ⁶	2.35%	8/11/2027	1,500,000	-
U.S. Bancorp Community Development Corporation ⁶	3.40%	7/10/2027	500,000	500,000
SK2 Fund ⁷	2.00%	12/01/2032	600,000	600,000
Arthur B. Shultz Foundation ⁷	2.00%	12/01/2032	100,000	100,000
Kalliopeia ⁸	2.00%	11/01/2027	1,000,000	1,000,000
AMCREF Community Fund ³	3.00%	11/22/2028	500,000	500,000
Isenberg Family Charitable Foundation, Inc. ⁴	2.50%	06/21/2029	500,000	500,000
Dogwood ⁹	0.00%	5/31/2025	-	1,053,000
M&T Bank ⁴	3.00%	9/30/2025	-	500,000
M&T Bank ⁴	3.00%	5/7/2027	500,000	-
Veteran Loan Fund ⁴	4.00%	12/31/2031	2,000,000	1,000,000
Renaissance Charitable Foundation ⁴	2.50%	3/10/2030	1,000,000	-
Fifth Third Bank ⁴	3.00%	12/31/2030	1,000,000	-
Anna J Morris Revocable Trust ⁷	1.00%	10/31/2026	250,000	-
Trillium ⁷	2.50%	12/31/2030	200,000	-
Goldman Sachs ⁴	3.50%	6/5/2031	5,000,000	-
			39,475,638	31,978,638
Less debt issuance costs			406,331	260,286
			\$ 39,069,307	\$ 31,718,352

1. Each loan is unsecured with interest payments due on a quarterly basis, with the remaining principal due at maturity.
2. The loan is unsecured with interest payments due on a semi-annual basis, with the remaining principal due at maturity.
3. The loan is unsecured with interest payable monthly in arrears, with the remaining principal due at maturity.
4. The loan is unsecured with interest payable quarterly in arrears, with the remaining principal due at maturity.
5. The loan is unsecured with interest payable annually. Principal payments of \$750,000 are due on the seventh, eighth, ninth, and tenth anniversaries the loan closing date.
6. The loan is unsecured with interest payable quarterly in arrears, with the remaining principal due three years from the initial disbursement date. However, at the end of each of the three years during the initial term, the loan's maturity date will automatically be extended for three years.

Appalachian Community Capital Corporation

Notes to Consolidated Financial Statements

December 31, 2025

7. The loan is unsecured with interest payable annually in arrears, with the remaining principal due at maturity.
8. The loan is unsecured with interest payable quarterly in arrears. Principal payments of \$500,000 are due on November 1, 2026 and 2027.
9. Loan is unsecured and interest free.

Performance against debt covenants is measured on a quarterly basis. As of December 31, 2025 ACC was in compliance with all covenants related to its long-term borrowings.

As of December 31, 2025, the Company had unfunded term loans available totaling \$2,274,362.

Note 9 – Fair Value of Financial Instruments

Fair Value Hierarchy

There are three levels of inputs in the fair value hierarchy that may be used to measure fair value. Financial instruments are considered *Level 1* when valuation can be based on quoted prices in active markets for identical assets or liabilities. *Level 2* financial instruments are valued using quoted prices for similar assets or liabilities; quoted prices in markets that are not active; or models using inputs that are observable or can be corroborated by observable market data of substantially the full term of the assets or liabilities. Financial instruments are considered *Level 3* when their values are determined using pricing models, discounted cash flow methodologies, or similar techniques and at least one significant model assumption or input is unobservable and when determination of the fair value requires significant management judgment or estimation.

Recurring Fair Value

The Company had no financial assets recorded at fair value on a recurring basis as of December 31, 2025 or 2024.

Non-Recurring Fair Value

The Company had no financial assets recorded at fair value on a non-recurring basis as of December 31, 2025 or 2024.

Note 10 – Significant Contracts

During 2014, the Company entered into an agreement to provide data processing services. Under the terms of the contract, ACC pays a monthly fee for backroom and loans servicing to Locus. In 2025, the Company entered into a revised agreement with Locus to add grant management and debt servicing services. For the years ended December 31, 2025 and December 31, 2024, ACC paid \$255,640 and \$144,823 for these services, respectively. Locus has a member of management that serves on the Board of Directors of the Company.

Note 11 – Related Parties

The Company currently has forty-one loans outstanding that have been made to CDFI's, each of which is a member organization of ACC. Certain CDFI's have a member of management who also serves on the Board of Directors of the Company. Each of these loans are on substantially the same terms as those prevailing for comparable transactions with persons not related to the Company and do not involve more than normal risk of collection or present other unfavorable terms.

Appalachian Community Capital Corporation

Notes to Consolidated Financial Statements

December 31, 2025

Note 12 – Net Assets with Donor Restrictions

Net assets with donor restrictions are restricted for the following purposes or periods.

	2025	2024
Subject to expenditure for specified purpose		
Community development lending	\$ 2,987,000	\$ 2,987,000
	<u>\$ 2,987,000</u>	<u>\$ 2,987,000</u>

Note 13 – Liquidity and Availability of Financial Assets

The Company's financial assets available within one year of the balance sheet date for general expenditure are as follows:

	2025	2024
Cash and cash equivalents	\$ 5,055,348	\$ 24,396,613
Loans and interest receivable, current portion	3,342,904	1,431,880
Grants receivable	618,277	645,770
	<u>\$ 9,016,529</u>	<u>\$ 26,474,263</u>

As part of ACC's liquidity management, it has a policy to structure its financial assets to be available as its general expenditures, liabilities, and other obligations become due. ACC invests excess cash in short-term investments, including money market accounts, and has the ability to redeem certain investments as necessary to meet its obligations.

Note 14 – Greenhouse Gas Reduction Fund

In March 2025, ACC was notified that the Environmental Protection Agency has moved to terminate the \$500 million grant which was awarded in 2024 as part of the Greenhouse Gas Reduction Fund under the Inflation Reduction Act. This has been temporarily blocked by the court system, however the ultimate outcome and timeline remains unclear. These funds of approximately \$509 million are currently not able to be accessed by ACC, and as of December 31, 2025 and December 31, 2024 are located in the line item cash and cash equivalents – restricted, with a corresponding amount in deferred revenue, on the consolidated statements of financial position.

Note 15 – Subsequent Events

Subsequent events are events or transactions that occur after the balance sheet date but before consolidated financial statements are issued. Recognized subsequent events are events or transactions that provide additional evidence about conditions that existed at the date of the balance sheet, including the estimates inherent in the process of preparing consolidated financial statements. Nonrecognized subsequent events are events that provide evidence about conditions that did not exist at the date of the balance sheet but arose after that date.

On April 16, 2026, ACC filed suit against the United States of America acting through the Environmental Protection Agency ("EPA"), in the Court of Federal Claims, for unlawfully terminating the \$500 million grant awarded to ACC. The lawsuit is for breach of contract and seeks monetary damages to cover the losses sustained by ACC, and its subsidiary, the Green Bank for Rural America, in connection with, and as a result of, the termination.

Appalachian Community Capital Corporation

Notes to Consolidated Financial Statements

December 31, 2025

The Company evaluated subsequent events through the date its consolidated financial statements were issued, and no subsequent events requiring accrual or disclosure other than the above were noted through April 30, 2026.

Note 16 – Green Bank of Rural America Financial Information

Financial information of Green Bank of Rural America as of and for the years ended December 31, are as follows:

Statements of Financial Position		
	2025	2024
ASSETS		
Cash and cash equivalents	\$ 847	\$ 891,146
Cash and cash equivalents – restricted	272,807,305	-
Accounts receivable	500,000	-
Grants receivable	213,609,749	490,185,158
Property and equipment, net	-	1,786
Total assets	<u>\$ 486,917,901</u>	<u>\$ 491,078,090</u>
LIABILITIES AND NET ASSETS		
Accounts payable	\$ 450,392	\$ 1,202,711
Deferred revenue	486,517,581	489,838,175
Accrued expenses and other liabilities	-	5,115
Total liabilities	<u>486,967,973</u>	<u>491,046,001</u>
Net assets – without donor restrictions	(50,072)	32,089
Net assets – with donor restrictions	-	-
Total net assets	<u>(50,072)</u>	<u>32,089</u>
Total liabilities and net assets	<u>\$ 486,917,901</u>	<u>\$ 491,078,090</u>

Appalachian Community Capital Corporation

Notes to Consolidated Financial Statements

December 31, 2025

Statements of Activities

Year Ended December 31, 2025

	Without Donor Restrictions	With Donor Restrictions	Total
SUPPORT AND REVENUE			
Grant income	\$ -	\$ 12,440,151	\$ 12,440,151
Net assets released from restrictions	12,440,151	(12,440,151)	-
Total support and revenue	12,440,151	-	12,440,151
EXPENSES			
<i>Program Services</i>			
Salaries and employee benefits	394,450	-	394,450
Data processing	-	-	-
Office and administrative	10,564	-	10,564
Professional fees	1,023,789	-	1,023,789
Travel expense	21,966	-	21,966
Dues and subscriptions	-	-	-
Promotional events	-	-	-
Pass through grant expense	11,000,000	-	11,000,000
Other expense	1,934	-	1,934
Total program services expenses	12,452,703	-	12,452,703
<i>Management and General</i>			
Salaries and employee benefits	69,609	-	69,609
Total management and general expenses	69,609	-	69,609
Total expenses	12,522,312	-	12,522,312
Change in net assets	(82,161)	-	(82,161)
NET ASSETS			
Beginning of year	32,089	-	32,089
End of year	<u>\$ (50,072)</u>	<u>\$ -</u>	<u>\$ (50,072)</u>

Appalachian Community Capital Corporation

Notes to Consolidated Financial Statements

December 31, 2025

Statements of Activities

Year Ended December 31, 2024

	Without Donor Restrictions	With Donor Restrictions	Total
SUPPORT AND REVENUE			
Grant income	\$ -	\$ 346,983	\$ 346,983
Net assets released from restrictions	346,983	(346,983)	-
Total support and revenue	346,983	-	346,983
EXPENSES			
<i>Program Services</i>			
Salaries and employee benefits	21,860	-	21,860
Professional fees	284,356	-	284,356
Travel expense	2,318	-	2,318
Dues and subscriptions	2,239	-	2,239
Other expense	263	-	263
Total program services expenses	311,036	-	311,036
<i>Management and General</i>			
Salaries and employee benefits	3,858	-	3,858
Total management and general expenses	3,858	-	3,858
Total expenses	314,894	-	314,894
Change in net assets	32,089	-	32,089
NET ASSETS			
Beginning of year	-	-	-
End of year	<u>\$ 32,089</u>	<u>\$ -</u>	<u>\$ 32,089</u>



Compliance Section

Appalachian Community Capital Corporation

Schedule of Expenditures of Federal Awards

For the Year Ended December 31, 2025

Federal Grantor/Pass - Through Grantor/ Program or Cluster Title	Federal Assistance Listing Number	Pass-Through Entity Identifying Number	Amounts Passed Through to Sub-Recipients	Total Federal Expenditures
U.S. Department of the Treasury				
Direct Assistance				
Community Development Financial Institutions Fund (CDFI)				
2024 FA	21.020	N/A	\$ -	\$ 800,000
Total U.S. Department of Treasury				800,000
Appalachian Regional Commission				
Direct Assistance				
Appalachian Regional Commission Opportunity Appalachia	23.002	PW-21481-IM-23	-	1,043,961
Total Appalachian Regional Commission				1,043,961
U.S. Environmental Protection Agency				
Direct Assistance				
Greenhouse Gas Reduction Fund: Clean Communities				
Investment Accelerator	66.960	N/A	11,124,005	11,867,633
Total U.S. Environmental Protection Agency				11,867,633
Total Expenditures of Federal Awards			\$ 11,124,005	\$ 13,711,594

NOTES

Basis of Presentation

The accompanying schedule of expenditures of federal awards (the "Schedule") includes the federal grant activity of Appalachian Community Capital Corporation (the "Company") under programs of the federal government for the year ended December 31, 2025. The information presented in this Schedule is presented in accordance with the requirement of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Because the Schedule presents only a selected portion of the operations of the Company, it is not intended to and does not present the financial position, changes in net assets, or cash flows of the Company.

Summary of Significant Accounting Policies

Expenditures reported on the Schedule are reported on the accrual basis of accounting. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement.

Indirect Cost Rate

The Company has elected to use the 15% de minimis indirect cost rate as allowed under the Uniform Guidance.

Awards Expended in the Form of Loans

Federal awards from the U.S. Department of Treasury were used to originate \$45,455 in loans for 2025.

Independent Auditor's Report on Internal Control over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance with Government Auditing Standards

To the Board of Directors
Appalachian Community Capital Corporation
Christiansburg, Virginia

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, the consolidated financial statements of Appalachian Community Capital Corporation (the "Company"), which comprise the consolidated statement of financial position as of December 31, 2025, and the related consolidated statements of activities and cash flows for the year then ended, and the related notes to the consolidated financial statements, and have issued our report thereon dated April 30, 2026.

Report on Internal Control over Financial Reporting

In planning and performing our audit of the consolidated financial statements, we considered the Company's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinion on the consolidated financial statements, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, we do not express an opinion on the effectiveness of the Company's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the Company's financial statements will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over financial reporting that might be significant deficiencies or material weaknesses. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that were not identified.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the Company's consolidated financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the consolidated financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the Company's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the Company's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Brown, Edwards & Company, L.L.P.

CERTIFIED PUBLIC ACCOUNTANTS

Christiansburg, Virginia
April 30, 2026

Independent Auditor's Report on Compliance for Each Major Program and on Internal Control over Compliance Required by the Uniform Guidance

To the Board of Directors
Appalachian Community Capital Corporation
Christiansburg, Virginia

Report on Compliance for Each Major Federal Program

Opinion on Compliance for Each Major Federal Program

We have audited Appalachian Community Capital Corporation's (the "Company") compliance with the types of compliance requirements identified as subject to audit in the *OMB Compliance Supplement* that could have a direct and material effect on each of the Company's major federal programs for the year ended December 31, 2025. The Company's major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

In our opinion, the Company complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended December 31, 2025.

Basis of Opinion for Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of the Company's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules, and provisions of contracts or grant agreements applicable to the Company's federal programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the Company's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and, therefore, is not a guarantee that an audit conducted in accordance with generally accepted auditing standards, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the Company's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with generally accepted auditing standards, *Government Auditing Standards*, and the Uniform Guidance, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the Company's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- Obtain an understanding of the Company's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control over Compliance

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. *A significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in

internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Brown, Edwards & Company, L.L.P.

CERTIFIED PUBLIC ACCOUNTANTS

Christiansburg, Virginia
April 30, 2026

Appalachian Community Capital Corporation

Schedule of Findings and Questioned Costs

December 31, 2025

A – Summary of Auditor’s Results

1. The auditor’s report expresses an **unmodified opinion** on the consolidated financial statements of Appalachian Community Capital Corporation (the “Company”).
2. **No significant deficiencies and no material weaknesses** relating to the audit of the consolidated financial statements are reported in the Independent Auditor’s Report on Internal Control over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance with *Government Auditing Standards*.
3. **No instances of noncompliance** material to the consolidated financial statements of the Company were disclosed during the audit.
4. **No significant deficiencies and no material weaknesses** relating to the audit of the major federal award programs are reported in the Independent Auditor’s Report on Compliance for Each Major Program and on Internal Control over Compliance required by the Uniform Guidance.
5. The auditor’s report on compliance for the major federal award programs of the Company expresses an unmodified opinion.
6. The audit disclosed no findings related to major programs.
7. The major federal award programs tested include:

Name of Program	Assistance Listing Number
Appalachian Regional Commission	
Appalachian Regional Commission Opportunity Appalachia	23.002
U.S. Environmental Protection Agency	
Greenhouse Gas Reduction Fund: Clean Communities	
Investment Accelerator	66.960

8. The **threshold** for distinguishing Type A and B programs was **\$1,000,000**.
9. The Company was determined to be a **low-risk auditee**.

B – Findings – Financial Statement Audit

None.

C – Findings and Questioned Costs – Major Federal Award Program Audit

None.

Appalachian Community Capital Corporation

Summary Schedule of Prior Audit Findings

December 31, 2025

A – Findings and Questioned Costs – Major Federal Award Program Audit

2024-001: Environmental Protection Agency – Assistance Listing No. 66.960, Greenhouse Gas Reduction Fund: Clean Communities Investment Accelerator, Significant Deficiency

Criteria and Condition Recipients of federal funds are required to prepare a complete and accurate Schedule of Expenditures of Federal Awards. Additionally, recipients must establish and maintain effective internal controls over federal awards to provide reasonable assurance of accurate financial reporting.

Current Status No longer applicable.